#uni #s26 #bu419

Lecture 04: Commercial Insurance, Reinsurance, & Captive Insurance

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Property & Casualty Insurance

- P&C Insurance can be broken down into:
  - Personal lines
    - The customer is a consumer. The insurer looks at the specific individual person who owns the asset to determine the likelihood of a loss.
    - Examples: auto or home owner's insurance
    - The individual's personal habits, history, and demographics drive risk evaluation.
  - Commercial or Speciality Lines
    - The customer is a business or entity.
    - The insurer looks at the business entity as a whole, completely separate from the personal lives of the people who work there or own it.
    - Example: Commercial Property Insurance for a manufacturing plant or Liability Insurance for a tech firm
    - The nature of the business operations, revenue, industry, and workplace safety protocols drive risk evaluation.
- Many personal lines insurance companies offer commercial insurance, but generally only to typically low-risk and small kinds of businesses.
- Many commercial insurance companies offer personal lines insurance as well as life insurance and other financial services products.
- Some risks are difficult to place in the standard market because they may be unusual or unique and hard to price if the insurance industry has no prior experience with them.
- To safeguard an insurer's financial stability in the event of total loss, insurers cannot devote more than a certain amount of their underwriting capacity to insure any one risk.
- In such cases, part of the risk may be insured in the Standard Market, and the remainder or excess in the Surplus lines market.

Surplus Lines Market

- The surplus lines market is composed of highly specialized unadmitted insurers that exist to take on risks standard companies reject.
  - Standard insurers might refuse a risk outright or offer to cover it only at an incredibly high premium with restrictive exclusions or under an aggressive deductible.
- To be eligible to seek coverage in the surplus lines market, effort must have been made to place insurance within a standard company, and it should be defined by a certain number of rejections by standard insurers.
- Risks generally fall into the surplus lines category due to a few distinct factors:
  - Unique or unusual risks
  - Substandard or Distressed Risks: Businesses with an adverse risk profile, such as a company seeking property fire coverage despite having a severe history of past fires.
  - Highly complex risks
  - High limit exposures

Reinsurance

- Re-insurance is essentially insurance for insurance companies.
- It is a way for primary insurers to protect against unforeseen or extraordinary losses.
- Reinsurance also serves to limit liability on specific risks, to increase an insurer's capacity to write business, and to help insurers stabilize their business in the face of the wide swings in profit and loss margins.
- Re-insurer typically does not assume all of the primary insurer's insurance risk.
  - Retention is the amount of risk retained by a primary insurer in the reinsurance transaction.
  - Can be expressed as a percentage of the original amount of insurance or as a dollar amount of loss
- How it works:
  - Reinsurance is a contract between the primary insurer and the reinsurer.
  - Re-insurer agrees to indemnify the insurance company called the cedant on all or part of the risk that the insurance company writes.
  - The primary insurance company cedes all or part of the risk to the reinsurer, and the reinsurer assumes all or part of the risk.
  - Even though the primary insurer may transfer part of the risk, the primary insurer still maintains the financial obligation from the originally issued policy.
  - Insurers may purchase reinsurance from one or more reinsurance companies to spread risk.

    - Re-insurers may also reduce the amount of re-insurance they assume by purchasing re-insurance coverage from other re-insurers. This process is called **retrocession**.
- Two main types of reinsurance:
    - Treaty
        - Treaty reinsurance agreements are contracts under which the primary insurer and reinsurer agree to the specific lines of business up front that will be ceded.
        - It is compulsory for both sides. The primary insurer must cede every single policy that fits the criteria, and the reinsurer must accept them automatically without looking at the individual files.
    - Facultative
        - Facultative reinsurance arrangements are typically used to cover large, complex individual commercial risks.
        - The primary insurer selects the exposures to seed, and the reinsurer individually underwrites each risk.
        - Both parties are choosing each risk case by case instead of bundling all of them into one category.
- How the risk is shared:
    - Pro rata (proportional):
        - The primary insurer and reinsurer split insurance amounts, premiums, and losses based on a structured fixed percentage.
        - Two designs:
            - Quota Share
                - The primary insurer and the re-insurer agree to share a fixed, unchanging percentage of every single risk premium and loss that falls under the treaty.
            - Surplus Share
                - The sharing percentage is variable and only kicks in if a policy's limit exceeds a specific dollar threshold known as the primary insurer's line or net retention.
    - Excess of Loss (Non-Proportional):
        - Excess of loss reinsurance indemnifies the primary insurer for losses that exceed some specified amount, called the attachment point.
            - If a loss is below the attachment point, the primary insurer pays 100% of it.
            - If a loss exceeds the attachment point, the primary insurer pays up to their retention limit, and the re-insurer pays the remaining balance.
        - The Four Bases of Excess of Loss:
            1. Per risk (per policy)

        - This covers all losses resulting from one covered claim or occurrence for a single specific policy.
    2. Catastrophe
        - Highly specialized form of per occurrence reinsurance designed to protect the primary insurer from a massive accumulation of retained losses arising out of a single catastrophic event like a natural disaster.
    3. Per occurrence
        - This covers all combined losses resulting from a single covered event across all affected policies.
    4. Aggregate or stop loss
        - Instead of looking at single claims or single events, this covers the total sum of all covered losses over a specific period, which is usually an entire calendar year.

Captive Insurance

- A captive insurance company is a specialized subsidiary formed by a parent organization for the primary purpose of insuring the retained exposures of that parent company and its corporate affiliates.
- The parent organization does not need to be an insurance company or a financial institution.
- The primary goal of establishing a captive is to simply reduce the parent company's overall cost of risk.
- Types of Captives:
    1. Single Parent (Pure) Captive
        - A captive insurer owned by exactly one company that exclusively insures all or part of the loss exposure of that specific company or its subsidiaries.
        - To be financially viable, the parent's loss exposures must generate substantial premium volume to cover the captive's operational overhead, typically requiring a minimum annual premium of greater than $2,000,000.
        - Eg: Toyota Motor Corporation
    2. Group Captive
        - A captive insurer owned by a collective group of companies rather than a single parent.
        - The participating owners usually operate similar or related businesses.
        - Eg: United Educators Insurance
    3. Risk Retention Group (RRG)
        - A highly specific type of group captive formed strictly under the requirements of the U.S. Liability Risk Retention Act

        - All owners must be from the same industry and must be insured by the RRG.
        - Everyone insured by the RRG must be an owner.
        - It only needs to be licensed in a single US state to operate nationwide.
        - Eg: Allied Professionals Insurance Company
    4. Agency Captive
        - A type of group captive that is owned by insurance agents or brokers rather than the commercial clients being insured.
        - These are often formed during hard markets to allow the agency to write select high-quality accounts for which there is limited standard market capacity.
        - Eg: Independent Contractors Benefits Association (ICBA) Captive
    5. Rent-a-Captive
        - An arrangement where an organization rents capital and structure from an existing captive insurance platform instead of building their own.
        - The reinsurer pays premiums and gets reimbursed for its losses, while receiving direct credit for underwriting profits and investment income generated by its portion.
        - Eg: Atlas Insurance Management
    6. Protected Cell Company
        - A single legal corporate entity that is divided into legally segregated cells.
        - Each participating company owns its own designated cell but only owns a fraction of the overall core company.
        - Participants are not able to access others' capital and surplus in the event of insolvency.
        - Eg: Pioneer Capti Insurance Company Limited
- Advantages of Captives:
    - Reduces cost of risk
    - Cash flow available in losses
    - Obtaining insurance not otherwise available
    - Direct access to the insurers
    - Better negotiation with reinsurers
    - Centralized Loss Retention
    - Potential Tax Advantages
- Disadvantages of Captives:
    - Capital requirements and start-up costs
    - Sensitivity to losses
    - Pressure from parent company
    - Tags on premiums and loadings